

associates were loading up on DSQ, Himachal Futuristics and other such junk stocks, and then attempting to carry forward the positions. But their prices continued to flag.

Sensing trouble, many of Ketan's brokers started offloading his positions. Others dumped the stocks he had placed with them as collateral. These actions set off a vicious cycle, the falling prices triggering off selling, every wave of selling leading to a further fall in prices, and so on. Trading in many stocks was frozen for lack of buyers, and brokers, unable to unwind their positions fully, defaulted on payments to the exchanges.

Ketan's situation was made worse by many badla financiers deciding to withdraw funds from the market at the same time that he was badly strapped for cash (too much of a coincidence, I thought). Badla rates shot through the roof as the handful of remaining financiers then asked for a steep premium. Undoubtedly, those Ketan had caused heartburn to on his way up the ladder of fortune were now tightening the screws on him.

On CSE, there was a major payment crisis as Ketan's associates who bought on his behalf were unable to make their payments to the exchange. There was a cumulative shortfall of Rs 106 crore across three settlement cycles, even as the exchange somehow tried to complete the settlement by invoking bank guarantees and appropriating the margin money of the defaulting brokers. In addition, the exchange dipped into its trade guarantee fund to bridge the shortfall. But all these measures were still not good enough to tide over the defaults.

With all exit routes closed, Ketan decided to go for broke. He got MMCB to issue him a pay order for Rs 137 crore and pledged his shares, by now worthless, as collateral. This was not the first time that the bank's chairman Ramesh Parikh had accommodated Ketan. In fact, the bank had been facing liquidity problems since early March when it became common knowledge that Ketan had a free run of the bank. Parikh was loaning funds to Ketan far in excess of the limits set by RBI, and that too without collecting adequate collateral. Unnerved by rumours that the bank had given a hefty bank guarantee to the latest Big Bull on Dalal Street, wary depositors started taking their money out of the bank, effectively sealing its fate.

Ketan was a major reason for the bank to go under, but he was not the only reason. Ramesh Parikh's son Vinit Parikh was an active player in the stock market through his firm Madhur Capital, and was said to be dipping liberally into the bank's coffers to repay his trading losses. At the time of